

2:00 PM

LINE 1

23-CIV-00637

ANGEL PADILLA VS DISCOVERY PRACTICE MANAGEMENT, INC.

ANGEL PADILLA
DISCOVERY PRACTICE MANAGEMENT, INC.

JOSHUA S FALAKASSA
NANCY RADER WHITEHEAD

PLAINTIFF'S UNOPPOSED MOTION TO APPROVE THE SETTLEMENT PURSUANT TO THE PRIVATE ATTORNEY'S
GENERAL ACT OF 2004

TENTATIVE RULING:

The parties are to APPEAR for the hearing on plaintiff Angel Padilla's second Motion for Approval of Private Attorney General Act (PAGA) Settlement.

On February 9, 2022, Plaintiff filed an individual and class action wage and hour lawsuit. On April 14, 2023, Plaintiff filed a first amended complaint adding a PAGA action. On September 5, 2023, with a written order filed November 8, 2023, the court granted in part and denied in part defendant's motion to compel arbitration. The Court compelled Plaintiff's individual and class claims to arbitration and stayed the PAGA representative claim. (Order of Nov. 8, 2023.) On September 11, 2025, Defendant filed a notice of related case that this case was related to three cases, one in San Diego Superior Court, one in Los Angeles Superior Court, and one in Orange County Superior Court. The Court has no information about the status of any of these cases.

According to the original motion, it is estimated that there are approximately 2,245 aggrieved employees who worked 63,000 pay periods. The proposed settlement amount is \$1,102,500. The settlement will provide a payment of \$520,695.63 to the California Labor and Workforce Development Agency (i.e., 75% of the \$694,260.84 PAGA Penalties Fund). The remaining \$173,565.21 shall be distributed amongst the aggrieved employees.

On March 10, 2026, the Court heard Plaintiff's original motion and in the tentative ruling adopted at the hearing raised questions regarding the settlement. Some of the questions have been answered, but answers to key questions remain unanswered.

In ruling on PAGA settlements, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77 (*Moniz*), disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664 ["trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."]; see *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 ["The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement."]; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

In reviewing a PAGA settlement, the trial court “should evaluate [it] to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Moniz, supra*, 72 Cal.App.5th at p. 77.) The court is vested with broad discretion in making that determination. (*Id.* at p. 76.) In ascertaining the fairness of a PAGA settlement, the trial court may consider many of the same factors used to evaluate the fairness of class action settlements, “including the strength of the plaintiffs' case, the risk, the stage of the proceeding, the complexity and likely duration of further litigation, and the settlement amount.” (*Id.* at p. 77; see *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801 (*Dunk*) [discussing that in class actions, courts look at the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, amount offered in settlement, extent of discovery completed and the stage of the proceedings, experience and views of counsel and the reaction of the class members to the proposed settlement.].) The list of factors is not exhaustive and “should be tailored to each case.” (*Dunk, supra*, at p. 1801.) According to the *Dunk* court, “a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Id.* at p. 1801.)

Since the aggrieved parties do not have the right to object to the settlement because the action is brought on behalf of the state and the aggrieved employees have no personal claims (see *Kim v. Reins International California, Inc.* (2020) 9 Cal.5th 73, 81; *Williams v. Superior Court* (2017) 3 Cal.5th 531, 547, fn. 4), the factor of the number of objectors is not relevant in a PAGA action. However, plaintiffs were required and did provide notice to the LWDA, who did not object to the settlement.

Plaintiff has provided a more detailed analysis of the strength of his claims, and the Court determines that the settlement is fair, reasonable, and adequate in view of PAGA's purposes. However, before providing final approval, the Court needs more information about the arbitration, class claims and lawsuits pending in different venues.

Plaintiff's counsel Joshua Falakassa has added several paragraphs to his declaration which describe his specific experience. The parties participated in a mediation session with Abe Melamed, Esq. Plaintiff's counsel is adequate to represent the aggrieved parties and the LWDA.

Plaintiff has provided notice to the Labor Workforce Development Agency (LWDA) of the settlement as required by Labor Code section 2699, subdivision (s)(2)). (Bokhour Dec., ¶ 51, Ex. D.)

The Court finds Phoenix Class Action Administration Solutions (“Phoenix”) is an experienced third-party claims administrator (Moore Dec., ¶¶ 6-11) and approves its retention. The Court finds a reimbursement of \$12,500 to Phoenix reasonable and necessary.

Plaintiff's Counsel have provided information as to attorneys' fees. While a common fund fee is appropriate here, even a proper common fund-based fee award should be reviewed through a lodestar cross-check. (*Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503.)

The Court specifically informed Plaintiff's Counsel in the prior ruling that hourly rates had to be based on the reasonable rate in San Mateo County. While this Court can use its experience to determine a reasonable rate, the court requested this information from counsel. No information was provided by Plaintiff's counsel to support a reasonable hourly rate for San Mateo County.

The Court has a concern about Plaintiff's Counsel's billing records. Both Counsel billed between 1 hour and 1.5 hours in attending and preparing for the hearing on the motion to compel arbitration held on September 5, 2023, despite the minutes from that hearing reflecting no appearances by any parties or counsel. Perhaps the entries were a mistake, but the entries raise a concern about the reliability of the remainder of the bills.

Counsel have failed to justify inclusion of hours billed on procedural matters related to arbitration in their request for fees in this representative settlement. In reviewing the lodestar, the court notes that both Counsel billed duplicative entries within their billing records for retention of an expert to review aggrieved employee records and their review of that expert's analysis. Since the lodestar is a cross-check to the percentage fee, the Court needs to understand why two attorneys with approximately the same years of experience billed repeatedly for completing the exact same tasks, and why more junior attorneys were not used.

The Court and the parties shall discuss at the hearing the best way for Plaintiff and his counsel to address these issues and the following issues:

Scope of Settlement: Plaintiff and Plaintiff's Counsel state that although the Court compelled individual and class claims to arbitration, Plaintiff only proceeded with individual claims due to the arbitration agreement's class action waiver. The Court would like clarification as to whether it was the arbitrator who made this decision, or Plaintiff and his counsel, and why there is no request to dismiss the class claims from this lawsuit.

Also, counsel failed to address the Court's statement in its March 10, 2026 ruling that the Court had no information about the status of related cases in San Diego, Los Angeles, and Orange County Superior Courts. How does this settlement impact these lawsuits? Are the claims alleged substantially the same?

Costs: Plaintiff's Counsel's declarations still reflect different requested costs.

Service Award: Plaintiff mentions for the first time in his declaration that he has individually resolved his claims with Defendant. The amount of the settlement and the claims on which it is based is relevant to the service award.

Settlement Administration: The Settlement still identifies two different settlement administrators. (SA, ¶¶ 1.2, 7.1.)

Notice: The notice incorrectly states that the matter is in Solano County Superior Court. The first sentence under “What Are the Claims?” identifies “Plaintiffs” rather than “Plaintiff.” The second sentence in the second paragraph in that section does the same. The motion and Settlement’s definitions of aggrieved employees do not include the word “hourly” so the term should be taken out in the definition in the notice.

2:00 PM

LINE 2

24-CIV-00391

CHRISTIAN CRUZ VS BAY AREA PL SERVICES, ET AL.

CHRISTIAN CRUZ
SALUSTIANO RIBIERO

JUSTIN LO
SAM G SHERMAN

MOTION FOR AN ORDER APPROVING SETTLEMENT OF CLAIMS BROUGHT PURSUANT TO THE PRIVATE GENERAL ACT OF 2004, AWARDING ATTORNEYS' FEES, COSTS, AND REIMBURSEMENT OF SETTLEMENT ADMINISTRATION EXPENSES

TENTATIVE RULING:

The court GRANTS plaintiff Christian Cruz's (Plaintiff) Motion for Approval of PAGA (Private Attorney General Act) Settlement Agreement.

This Court denied Plaintiff's previous motion for PAGA approval based on several issues which precluded the Court from determining whether the settlement was a fair and reasonable compromise of claims and the court had questions about the attorneys' fees.

According to the motion, it is estimated that there are approximately 172 aggrieved employees who worked approximately 3,309 pay periods. The proposed settlement amount is \$130,000. The settlement will provide a payment of \$57,291.41 to the California Labor and Workforce Development Agency (i.e., 75% of the \$76,388.55 PAGA Penalties Fund). The remaining \$19,097.14 shall be distributed amongst the aggrieved employees.

In ruling on class action and PAGA settlements, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664 ["trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."] (*Moniz*); see *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 (*Kullar*) ["The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement."]; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

In reviewing a PAGA settlement, the trial court "should evaluate [it] to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz, supra*, 72 Cal.App.5th at p. 77.) The court is vested with broad discretion in making that determination. (*Id.* at p. 76.) In ascertaining the fairness of a PAGA settlement, the trial court may consider many of the same factors used to evaluate the fairness of class action settlements, "including the strength of the plaintiffs' case, the risk, the stage of the proceeding, the complexity and likely
